

Town of Lunenburg

Annual Budget, Preliminary Presentation

July 1, 2019-June 30, 2020



Fiscal Year 2020

February 14, 2019

Heather R. Lemieux
Town Manager

TOWN OF LUNENBURG

TOWN MANAGER

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Heather R. Lemieux, Town Manager

To: Board of Selectmen
Finance Committee

From: Heather R. Lemieux, Town Manager

Re: FY 2020 Budget Message and Preliminary Budget Proposal

Date: February 12, 2019

It is once again my privilege to present the Fiscal Year 2020 Preliminary Budget, which includes the most up to date revenue projections and expenditure requests. The Preliminary Budget, as presented, provides for funding operating budgets at a reasonable level and continues to focus on addressing the needs of the Town while balancing the cost to taxpayers and maintaining fiscal sustainability.

The proposed budget is balanced in two respects: it provides a balanced approach to the needs of all the departments of the Town that provide a level of service to our residents and is also balanced based upon the use of reoccurring revenues for operating costs and does not use free cash or stabilization towards the operating budget. Fiscal sustainability is a theme throughout by using conservative revenue estimates that are not one time revenues to support current expenditures and adheres to the town's financial policies to maintain a certain level in the town's reserve accounts.

In the process of developing the preliminary budget, departments were given target budgets to meet that included known personnel costs, known contractual increases, and conservative estimates for the "unknowns", such as health insurance, the retirement assessment, and other regional assessments. The Lunenburg Schools were provided a target budget of a 2.5% increase, which currently does not meet their level service budget needs, which is a 3.04% increase is based on the information known at this time. As more of the unknowns become known, such as the health insurance renewal costs, the

regular insurance costs, and the town's assessment for Montachusett Regional Vocational School, it is anticipated that changes will be made to the budget.

Lunenburg has seen significant growth over the years, which has translated to additional service calls for our public safety departments. In Fiscal Year 2019 the Town was able to add one additional Patrol Officer and two Career Firefighters. The FY20 preliminary budget proposes an additional Patrol Officer but the preliminary budget does not include a Career Firefighter due to the need to address a significant rise in the Fire Department's overtime costs. Other personnel priorities identified in the budget process include adding an Assistant Town Manager and Part-Time Recreation Director position.

The budget proposes to use free cash, non-reoccurring revenue, to fund a portion of the FY20 Capital Plan and deposits funds into town reserve accounts, including the Town's regular Stabilization account, the OPEB Trust Fund, and the Special Purpose Stabilization Account. By setting aside these funds in the town's stabilization accounts and OPEB Trust Fund, it will ensure the town is financially secure and is planning for their known future capital needs and future retiree health benefits.

Besides free cash, the FY20 Capital Plan will be funded with unexpended amounts from previous year's capital articles, tax revenue, and a small amount from premium issued from a bond reserved for capital. The FY20 Capital Plan amounts to \$1,684,100 for fourteen projects. For more details on the proposed FY20 Capital Plan, it can be viewed at: https://www.lunenburgma.gov/sites/default/files/field/files-docs/fy2020_capital_plan_presentation.pdf.

This budget is a preliminary recommendation for FY2020. There are still a number of unknowns at this date. The Governor has released his budget proposal but state aid will not be finalized until July. Other revenues such as "Local Receipts" and "New Growth" are conservative estimates used for town meeting. On the expenditure side, the Town is awaiting insurance renewal rates, the assessment from Montachusett Regional Vocational Technical School. As these figures become known, the financial projections will change and adjustments will be made that will ultimately be recommended to voters at the Annual Town Meeting on May 4, 2019.

For additional FY 2020 budget information, please visit the town website at www.lunenburgma.gov under the "Town Meetings and Town Finances" link on the homepage, the Board of Selectmen's Office, or the Town Clerk's Office.

Budget Process:

The budget process for Fiscal Year 2020 began not long after the start of Fiscal Year 2019. The Finance Committee began in September and the Capital Planning Committee began their process in October. The Capital Planning Committee continued utilizing a new data accumulation process using Google Sheets. Capital Planning member John Henshaw continues to tweak these documents to improve the process. A finalized FY20 plan was recommended to the Finance Committee in January. The Finance Committee reviewed and updated financial policies with the Board of Selectmen, made recommendations for the November 2018 Special Town Meeting that made amendments to the Fiscal Year 2019 budget, and kept abreast of any financial updates from the Finance Director and Town Manager.

The Town Manager is responsible for presenting a Five Year Financial Forecast in January and a Capital Plan recommendation to the Finance Committee based on the recommendation received from the Capital Planning Committee. The Five Year Financial Forecast projects revenues and expenditures based on historical trends, a variety of assumptions, and known future expenditures such as contractual increases and large capital projects. These projections assist town officials to prepare the ensuing years budgets to maintain fiscal sustainability and how expenditures will be addressed if a deficit is imminent. Here is a link to the Five Year Financial Forecast for FY20-FY24: https://www.lunenburgma.gov/sites/default/files/field/files-docs/fy2020-fy2024_financial_forecast_0.pdf.

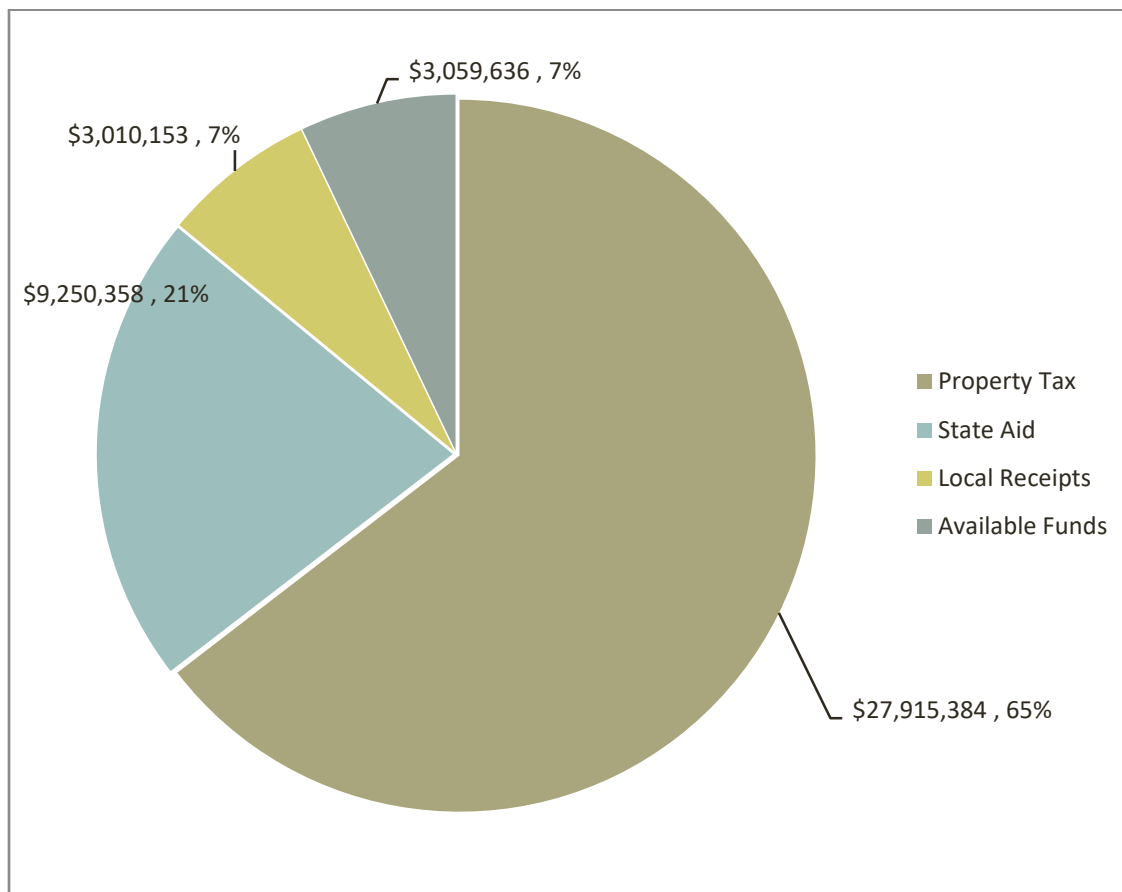
In mid-February the Town Manager prepares a budget recommendation that is presented to the Finance Committee. The framework for the budget begins with looking at the levy capacity, estimated revenues, contractual increases, and using reasonable estimates for expenditures. This year departments were asked to meet a target budget that included contractual increases and level funded most expense categories. Certain departments had target budgets that included added personnel and certain expenditure increases including the costs to add an additional full time police officer, the costs to add an additional full time firefighter, an Assistant Town Manager/HR Director, a Recreation Director, additional funds for pavement management, and additional funds for town facilities. For any requests above the target budget, departments were directed to provide a justification such as the effect on town services, if the increase would generate revenues, or address a need for increased service levels. After meeting with each department and updating the budget with any new information, such as the Worcester County Retirement assessment and an updated maximum increase for health insurance, the FY2020 preliminary proposal was drafted.

FY 2020 Revenue Overview:

The Town has four (4) sources of Revenue: Property Tax, State Aid, Local Receipts, and Available Funds. For FY 2019 the projected revenues are:

- Property Tax: \$27,915,384
- State Aid: \$ 9,250,358
- Local Receipts: \$ 3,010,153
- Other Avail. Funds: \$ 3,059,636
- Total: **\$43,235,531**

The chart below breaks out the revenue sources by percentage:



Property Taxes

Property taxes are the largest, single revenue source for the Town, approximately 65%. Property taxes are levied on real property (land and buildings) and personal property (equipment) used by non-manufacturing businesses. The Board of Assessors revalues all taxable real property at fair market value on a periodic basis. Prior to November 2017

this was done every three years but state law now allows this to be performed every five years. Under the provisions of Proposition 2 1/2, property taxes, in the aggregate, may not exceed 2 ½ percent of their full and fair cash value. This limit is known as the levy ceiling. Annual levy increases may not exceed 2 ½% more than the previous year's levy plus the taxes added from any new properties added to the tax rolls ("New Growth"). Any Proposition 2 ½ override and/or debt exclusion amounts voted are added to the levy limit.

	FY2017	FY2018	FY19 TM	FY20 TM	
	After Recap	After Recap	After Recap	Recommendation	Dollar Increase Over PY
Revenue					
Property Tax*	\$ 24,770,960	\$ 25,848,475	\$ 26,994,911	\$27,915,384	\$ 920,473.54
State Aid	\$ 7,998,947	\$ 8,972,793	\$ 9,074,334	\$ 9,250,358	\$ 176,024
Local Receipts	\$ 3,203,605	\$ 2,867,168	\$ 2,940,817	\$ 3,010,153	\$ 69,336
Available Funds**	\$ 1,790,591	\$ 2,240,771	\$ 2,669,543	\$ 3,059,636	\$ 390,093
total:	\$ 37,764,103	\$ 39,929,207	\$ 41,679,605	\$43,235,531	\$ 1,555,926
*Property Tax includes starting tax levy, 2 1/2%, New Growth, Excludable Debt					
** Available funds will fluctuate mainly due to use of free cash.					

	FY2017	FY2018	FY19 TM	FY20 TM	Dollar Increase
	After Recap	After Recap	Final	Recommendation	Over PY
Property Tax					
Prior Year Levy Limit	\$ 21,039,179	\$ 22,054,802	\$ 23,087,668	\$24,137,396	\$1,049,728
2 1/2% Increase	\$ 526,021	\$ 551,370	\$ 577,192	\$603,435	\$26,243
New Growth	\$ 489,602	\$ 481,496	\$ 472,536	\$375,000	-\$97,536
Debt Exclusions	\$ 2,716,158	\$ 2,760,807	\$ 2,857,515	\$2,799,553	-\$57,961
Taxes: Total	\$ 24,770,960	\$ 25,848,475	\$ 26,994,911	\$27,915,384	\$920,474

For FY2020, the Town's Property Tax revenues are projected to increase by \$920,474 and includes the maximum allowable levy including a 2 1/2 % increase over the previous fiscal year's ending levy (\$603,435). The estimate of \$375,000 used for New Growth is based on a historical data of certified New Growth amounts. As we near the end of the current fiscal year, the Board of Assessors will be able to provide a more refined estimate using information on open residential and commercial building permits and new personal property accounts. The decrease in the debt exclusion figure is based on a reduction in the principal and interest payments for existing debt-excludable projects for FY 2020.

State Aid

State Aid is the Town's second largest revenue source (21%) and is the amount of funding each community receives from the Commonwealth to help fund Education and General Government Services. Based on the Governor's House 1 Proposed Budget for FY2020, Lunenburg's State Aid would total of \$9,250,358, with is an overall increase of \$176,024 or 2.7% increase. The FY2020 State Aid estimate is based on the Governor's House 1 Proposed Budget.

The Governor's Budget Proposal is the first step in the process until a final budget is approved. The House Ways & Means will propose their version of the budget near the end of April, the Senate Ways & means will submit a proposed budget near the end of May, it will then head to Conference Committee and a final budget will be voted upon in

July. Below is a chart with a history of the approved State Aid amounts for FY2011-FY2019 and the Governor's Proposal for FY2020:

	FY2011 Budget	FY2012 Budget	FY2013 Budget	FY2014 Budget	FY2015 Budget	FY2016 Budget	FY2017 Budget	FY2018 Budget	FY2019 Budget	FY2020 Projected
STATE AID CHERRY SHEET										
Chapter 70 Education Aid	4,498,396	4,522,545	5,219,937	5,354,696	5,605,872	5,834,483	6,351,257	7,272,505	7,538,072	7,739,118
Charter Tuition Reimbursement	66,038	75,071	143,361	130,068	50,717	133,545	33,934	78,091	17,860	25,638
Charter Facility Reimbursement										
Smart Growth					183,618	166,960	119,257	119,257	29,195	17,686
School Lunch (offset)	8,112	9,647	8,887	8,087	7,451	-	-	-	-	-
School Choice Receiving Tuition (offset)	393,693	370,139	319,057	298,593	241,290	227,741	268,906	281,212	241,647	186,746
Unrestricted General Government Aid	894,449	829,777	894,449	915,592	940,983	974,858	1,016,777	1,056,431	1,093,406	1,122,928
Veterans Benefits	10,568	14,496	26,454	40,539	55,238	81,303	45,280	35,873	55,161	55,161
Exemptions VBS and Elderly	57,429	58,621	57,665	60,628	61,689	63,425	66,101	58,172	55,517	61,979
State Owned land	46,150	47,800	48,829	49,795	47,844	47,844	47,275	47,230	47,230	25,061
Police Career Incentive	5,914									
Public Libraries (offset)	12,138	12,222	12,078	11,488	14,647	14,398	14,137	14,615	15,534	16,041
TOTAL Cherry Sheet (3)	5,982,319	5,936,390	6,718,759	6,855,401	7,194,650	7,518,492	7,998,947	8,972,793	9,074,334	9,250,358

Local Receipts

Local Receipts are made up of Motor Vehicle Excise taxes, fees, fines, permits, licenses, and other departmental revenue or charges for services. These are often labeled “elastic revenues” as they may fluctuate with the economy. The estimate for Local Receipts for the FY19 budget assumes an over increase of 2.36% or \$69,336 over the FY2018 Local Receipts estimate. One of the FY2019 budget goals is to maintain a conservative Local Receipts estimate in order to create a healthy Free Cash figure when actual Local Receipts exceed the Local Receipts estimate. Used for non-operating expenditures, Free Cash allows the Town to address their capital needs and put funds into reserves.

	FY2017 After Recap	FY2018 After Recap	FY2019 Estimated	FY2020 Estimated
Local Receipts				
Motor Vehicle Excise	\$ 1,797,104	\$ 1,789,274	\$ 1,621,640	\$ 1,667,827
Penalties & Interest on Taxes	\$ 202,888	\$ 337,927	\$ 193,552	\$ 197,423
Payments in lieu of Taxes	\$ 1,647	\$ 1,650	\$ 1,735	\$ 1,770
Fees	\$ 126,248	\$ 172,569	\$ 162,758	\$ 166,013
Departmental Revenue- Schools	\$ 134,810	\$ 174,756	\$ 140,343	\$ 143,150
Departmental Revenue-Cemeteries	\$ 4,800	\$ 5,350	\$ 5,350	\$ 5,457
Other Departmental Revenue- Ambulance Fees	\$ 248,099	\$ 270,398	\$ 243,953	\$ 248,832
Licenses & Permits	\$ 309,511	\$ 202,350	\$ 202,350	\$ 206,397
Special Assessments	\$ 16,881	\$ 15,162	\$ 15,162	\$ 15,465
Fines & Forfeits	\$ 22,494	\$ 29,716	\$ 29,716	\$ 29,716
Investment Income	\$ 44,962	\$ 61,701	\$ 61,701	\$ 62,935
Miscellaneous, Solar Net Metering Credits	\$ 121,847	\$ 132,028	\$ 132,028	\$ 132,028
Miscellaneous, Local Option Meals	\$ 100,666	\$ 96,112	\$ 96,113	\$ 98,035
Miscellaneous, Supplemental Tax	\$ 71,648	\$ 97,562	\$ 34,416	\$ 35,104
Miscellaneous, RDS, Medicare Part D Reimbursement		\$ -		
Miscellaneous, Bond Premium		\$ -		
Miscellaneous, Medicaid Reimbursement		\$ -		
Miscellaneous, Supplemental State Aid		\$ -		
Miscellaneous Non- Recurring	\$ -	\$ -		
total:	\$ 3,203,605	\$ 3,386,554	\$ 2,940,817	\$ 3,010,153
Dollar Increase Over Prior Year		\$ 182,949	\$ (445,737)	\$ 69,336
Percentage Increase Over Prior Year		5.71%	-13.16%	2.36%

Available Funds (Reserves and Other Financing Sources)

Available funds covers a variety of categories including the use of certified Free Cash, borrowing amounts, a reimbursement from MSBA for an old school project, transfers from the Sewer Enterprise to fund charges within the General Fund, transfers from Sewer and Water Betterment Accounts to the General Fund to pay the cost of Sewer and Water debt service, and Septic Loan revenue. The below chart identifies the financing sources and use of reserves that are a portion of the revenues available for the FY2020 budget.

	FY2017	FY2018	FY2019	FY2020
	After Recap	After Recap	After Recap	Estimate
Available Funds				
Overlay Surplus	\$ -			
Free Cash	\$ 250,000.00	\$ 720,952.00	\$ 602,736.00	\$ 1,360,619.95
Bond Premium	\$ -			\$ 6,350.49
Unexpended Articles	\$ 20,451.95		\$ 54,478.00	\$ 167,129.56
Borrowing	\$ -		\$ 480,495.00	\$ -
Stabilization Fund	\$ -			
Stabilization Fund, Tax Levy	\$ -			
MSBA Reimbursement (Both debt and Reimbursement expire	\$ 534,198.00	\$ 534,198.00	\$ 534,198.00	\$ 534,198.00
MSBA Reserve Reimbursement Applied				
Sewer Enterprise Retained Earnings	\$ 63,707.00	\$ 68,423.00	\$ 70,464.00	\$ 73,099.00
Sewer Betterments	\$ 848,584.76	\$ 843,549.24	\$ 812,905.58	\$ 817,901.40
Water Betterments	\$ 62,781.00	\$ 62,781.00	\$ 58,468.13	\$ 56,837.50
Septic Loan Revenue	\$ 10,868.00	\$ 10,868.00	\$ 10,868.00	\$ -
Sale of Cemetery Lots	\$ -	\$ -		
Artificial Turf Revolving Fund			\$ 44,930.56	\$ 43,500.00
School Transportation Fee Offset	\$ -	\$ -	\$ -	\$ -
total:	\$ 1,790,590.71	\$ 2,240,771.24	\$ 2,669,543.27	\$ 3,059,635.90
Dollar Increase Over Prior Year	\$ 91,454	\$ 450,181	\$ 428,772	\$ 390,093
Percentage Increase Over Prior Year	5.50%	25.14%	19.14%	14.61%
Grand Total: General Fund Revenue	\$ 37,764,103	\$ 40,448,594	\$ 14,684,694	\$ 15,320,147

The FY2020 proposed budget recommends using \$1,360,619.59 of certified Free Cash, \$167,129.56 from unexpended articles, uses \$6,350.49 from bond premiums reserved for capital, transfers \$73,099 from the Sewer Enterprise for indirect costs paid for in the General Fund, transfers \$817,901 from the Sewer Betterment account to fund the Sewer's debt for FY20, transfers \$56,837.50 from the Water Betterment account to fund the Water's debt for FY20, and transfers \$43,500 from the Artificial Turf Revolving Fund to pay for the turf field debt for FY20.

FY2020 Expenditure Budget Overview

The Town's expenditures are divided into functional categories which become the legal budget appropriated at Town Meeting. These categories include: General Government; Central Purchasing; Police; Fire; Other Protection; Department of Public Works; Solid Waste; Health & Sanitation; Council on Aging; Veterans; Lunenburg Public Schools; Monty Tech Assessment; Library; Debt Service; Unclassified General Government; Retirement Assessment. Other expenditures in the budget include non-appropriated costs, such as Cherry Sheet Charges, Cherry Sheet Offsets, Snow & Ice Deficit, and funds for the Overlay Account. The final budgeting category is the remaining Town Meeting warrant articles that have a financial impact.

The preliminary FY2020 budget for Operating Expenses is projected to increase by \$1,260,667 or 3% over FY2019. The largest increases being in Lunenburg Public Schools (\$504,753 or 40% of the increase), Unclassified General Government (\$152,811 or 12% of the increase), Worcester County Retirement Assessment (\$132,539 or 11% of the increase), and DPW (\$137,871 or 11%). While other categories are increasing, the Debt Service is decreasing by \$119,369.

	FY2018	FY2019	FY2020	FY2020	Dollar Increase
	After Recap	After Recap	Target Budget	TM Recommendation	Over PY
Expenditures:					
General Fund Expenditures:					
General Government	\$ 1,336,339	\$ 1,426,619	\$ 1,510,446	\$ 1,520,022	\$ 93,403
Central Purchasing	\$ 55,303	\$ 55,303	\$ 60,303	\$ 60,303	\$ 5,000
Police	\$ 1,633,882	\$ 1,747,289	\$ 1,844,098	\$ 1,835,114	\$ 87,825
Fire	\$ 870,622	\$ 1,022,490	\$ 1,122,026	\$ 1,138,434	\$ 115,945
Radio Watch	\$ 255,719	\$ 276,467	\$ 301,568	\$ 290,031	\$ 13,564
Other Protection	\$ 181,270	\$ 191,083	\$ 192,922	\$ 192,058	\$ 975
Department of Public Works	\$ 1,589,171	\$ 1,668,378	\$ 1,794,128	\$ 1,806,249	\$ 137,871
Public Buildings & Facilities	\$ 753,216	\$ 670,851	\$ 704,790	\$ 707,239	\$ 36,388
Solid Waste	\$ 153,230	\$ 156,360	\$ 221,032	\$ 218,450	\$ 62,090
Health & Sanitation	\$ 70,867	\$ 73,839	\$ 76,372	\$ 77,317	\$ 3,478
Council on Aging	\$ 134,025	\$ 139,718	\$ 143,789	\$ 143,889	\$ 4,171
Veterans	\$ 105,775	\$ 105,775	\$ 105,775	\$ 105,775	\$ -
Lunenburg Public Schools	\$ 19,721,306	\$ 20,207,796	\$ 20,712,549	\$ 20,712,549	\$ 504,753
Monty Tech Assessment	\$ 877,527	\$ 824,011	\$ 844,611	\$ 844,611	\$ 20,600
Library	\$ 381,710	\$ 407,654	\$ 413,592	\$ 416,277	\$ 8,623
Debt Service	\$ 4,824,107	\$ 4,758,053	\$ 4,638,683	\$ 4,638,683	\$ (119,369)
Unclassified	\$ 2,911,296	\$ 3,136,216	\$ 3,357,611	\$ 3,289,027	\$ 152,811
Retirement Assessment	\$ 1,106,982	\$ 1,221,814	\$ 1,353,221	\$ 1,354,353	\$ 132,539
					\$ -
sub-total:	\$ 36,962,346	\$ 38,089,715	\$ 39,397,516.68	\$ 39,350,382.16	\$ 1,260,667

The FY2020 Preliminary Budget includes all contractual increases including agreed upon COLA increases for non-union employees under the Salary Administration Plan, all salary and related expenses per Collective Bargaining Units, and increases for employees with an Employment Agreement. The Town will be beginning contract negotiations with the Police Union and if not settled by June 30, 2019 will request a transfer of funds at a future town meeting from the Salary Reserve Account.

In terms of personnel, this proposal provides for the hiring of an additional full time Police Officer, the hiring of an Assistant Town Manager/HR Director, the hiring of a part time Recreation Director, and an increase of two hours a week for an employee at the Library. It also restructures the Department of Public Works by transferring the costs of an unfilled Assistant Town Mechanic position to outsourcing certain vehicle maintenance and not filling a Facilities position in order to hire a consultant to provide assessment services and assist the DPW with their project bidding requirements.

The Town Manager's target budget for the Fire Department included costs to hire an additional career firefighter according to the projected long term plan to move to a full time Paramedic level of service. However, the addition of two new career firefighters that was approved at the May 2018 has posed significant increases to the overtime budget therefore, the increase in funding for the Fire Department will need to be used to more adequately cover the rise in overtime costs for the added Fire Department going to 24/7 coverage.

Below are highlights of the preliminary budget recommendations made by the Town Manager:

General Government

The General Government category includes the Administrative, Financial, and Planning Offices of the town. Total spending in this category is recommended at \$1,520,022, which is an increase of 7%. The proposal includes all contractual increases, the addition of an Assistant Town Manager/HR Director, an increase in salary costs for election workers, costs related to General Code updates, training, software and hardware maintenance costs, and expenditures to provide general government services.

One of the priorities in this proposed budget is to address the need for a Human Resources Director. As the Human Resources Director, the position would be responsible for state and federal regulation compliance, creating and updating position descriptions and job classifications, policy administration, handling grievances, mediating employee disputes, providing advice and counsel to Department Heads, developing personnel procedures, and orientation of new employees. This individual could also assist the Town Manager with putting together bid packages and other special projects as assigned.

Police Department

The Lunenburg Police Department employs 16 full time Police Officers, 10 Reserve Intermittent Police Officers, a Public Safety Coordinator, and a Desk Officer. The Police Department is in operation 24 hours a day, 7 days a week. For many years the Chief has requested additional staffing based upon the department's level of activity. The Police Chief proposed a 10 year plan of adding one additional full time officer each fiscal year to reach adequate staffing levels and making these changes incrementally. The last two fiscal years, an additional police officer was added each year. Adding one additional officer last year does not resolve the Police Department's need for additional officers. Based on state and national data on the number of officers per capita in communities of similar size, Lunenburg falls below the state average. There has been significant growth in housing units over the years and the Police Department's response to calls for service correlates to the growth in the community. The increase in the FY20 Police Department budget reflects one additional Police Officer and related expenses. The total increase over the previous fiscal year is \$87,825, which is a 7% increase.

Fire Department

The Fire Department is comprised of a full time Fire Chief, 6 full time Firefighter/EMTs, an EMS Coordinator, and on call reserve firefighters and on call EMT's. The Fire Department faces similar challenges as the Police Department in an increase in service calls due to the growing population, as well as the need for growing the Department to be able to run at the paramedic level in order to provide a higher level of medical care alongside a growing percentage of residents in their senior years. The Fire Chief proposed a four year plan to add one firefighter/paramedic each fiscal year to reach

adequate staffing to operate a 24/7 Paramedic Level Service. This plan was accelerated at the May 2018 Annual Town Meeting through a citizen's petition to hire two firefighter/EMT's instead of one firefighter/Paramedic. The target budget for the Fire Department included the costs in the projected four year plan to add a seventh full time Firefighter/Paramedic however, due to the addition of two new full time staff this fiscal year there has been a significant rise in overtime costs that need to be addressed. The FY20 preliminary budget proposal for the Fire Department more adequately addresses the rise in overtime costs and continues the training of the two new full time EMT's to become Paramedics in order to stay on track with the plan to move to a Paramedic Level Service by FY2021. The addition of the two full time firefighters this fiscal year allow for 24/7 coverage at the Advanced Level, with Sundays covered by per diem EMT's and per diems and one full time firefighter/EMT covering Monday thru Friday shifts. The total increase over the previous fiscal year is \$115,945, which is a 9% increase.

Public Works and Town Buildings & Facilities

The Department of Public Works is recommending a restructuring of duties within the Department, including transferring the salary expenses for the unfilled Assistant Mechanic position to the vehicle maintenance lines for both Fire and Police. This will result in outsourcing the more technological repairs for certain Fire and Police vehicles/equipment while still servicing the remaining vehicles/equipment through the Town Mechanic. Another recommendation is to not fill a Facilities position and utilize those funds to hire a consultant to perform long term property assessments that will inform the Facilities budget and Capital Plan, as well as create and assist with the bidding requirements for various facilities projects.

The need for a Recreation Director position has been repeated over the course of the last couple of years. The Town currently does not have any dedicated staff to handle administrative tasks such as overseeing the scheduling town recreational fields, processing of bills, and reconciliation of accounts. These administrative tasks have been delegated between the Parks Commissioners, the DPW Administrative Assistant, and the DPW Director has overseen the parks and field maintenance program. A part time Parks Director would be tasked with these responsibilities and could also develop community recreation programming and long-range planning related to enrichment in programs, facilities, and operations.

In addition, the proposed budget addresses the long term maintenance costs to sustain the benefits of the Pavement Management Plan by continuing to add \$50,000 to the Pavement Management line that will ultimately reach a sustainable level upon the completion of the Pavement Management Plan Debt Exclusion. This increase is supported by the additional growth in the Motor Vehicle Excise Account in Local Receipts.

Two other noteworthy increases to the FY20 DPW budget is an additional \$40,000 in the annual maintenance budget for Facilities to continue the effort to address building repair/improvement projects and a \$60,000 increase to the Stormwater line item. The

additional funding needed for Stormwater in fiscal year 2020 are the associated costs to meet the requirements of the Municipal Separate Storm Sewer Systems Permit (MS4), which became known after all departments were required to submit their budgets back to the Town Manager in January.

Outside of the increase to the Stormwater line item, all other increases were identified in the target budget that the DPW was asked to meet. The total increase over the previous fiscal year for the DPW is \$137,871, or an 11% increase, and the total increase over the previous fiscal year for the Town Buildings & Facilities budget is \$36,388, or a 3% increase.

Solid Waste/Recycling Program

Another challenge in the Fiscal Year 2020 budget will be an estimated \$62,000 increase to the recycling program. Due to the global market changes in recycling stemming from China's National Sword Policy, which has restricted the import of recyclable materials into China, and the closing of the only glass recycling plant in Massachusetts, the Town will begin paying for its recyclables starting July 1st.

Lunenburg Public Schools

The Town Manager's recommended preliminary FY2020 budget for Lunenburg Public Schools is \$20,712,549. This total includes 40S Smart Growth funding that is provided in State Aid, if funded. The Governor's House 1 Budget Proposal for 40S Smart Growth funding for FY20 is \$17,686. This funding is used towards Curriculum Update expenses, which is in addition to the Curriculum Adoption within the School Operating budget. Excluding the 40S funding, the preliminary FY20 target budget for LPS is a 2.5% increase over the previous fiscal year or \$504,753. It is expected that this will be revisited after the Town receives the health insurance renewals, the assessment from Montachusett Regional Vocational School, and the regular insurance renewals.

Unclassified General Government

The Unclassified category of the operational budget includes Health Insurance, Workers Compensation Insurance, Liability Insurance, Police/Fire Injured on Duty Insurance, and Reserves.

The Town purchases Health Insurance for all active and retired employees through the Massachusetts Inter-local Insurance Association (MIIA). By purchasing insurance through this cooperative, we are able to receive the benefit of being a part of the largest municipal joint purchasing group. As a result of our membership in MIIA and due to the fact that we have favorable claims history, our rates have also been favorable. We were able to achieve savings for both the Town and employees this current fiscal year by making agreed plan design changes through the Public Employee Committee Agreement, which resulted in a 3.61% increase, whereas many communities faced double digit

increases. MIIA provided an estimate of an 8% increase for Health Insurance renewal rates for FY20 in December and released their maximum rate increases to members in January of 5%, therefore we adjusted our health insurance figure to a 5% increase. We will receive our actual renewal rates by the end of February and hope to see that figure decrease again.

Another noteworthy point is that 38% of the Health Insurance budget is active town employees and 62% is retiree health insurance for both town and school employees. The active health insurance portion of the FY20 is approximately \$950,000 out of the \$2,439,843. The estimate for FY20 School retirees health insurance is approximately \$1,060,000 and \$430,000 for Town retiree health insurance.

The estimates for Workers Compensation, Liability, and Police/Fire IOD insurances have not been received but the budget level funds these budgets based on current year's expenditures, credits, and agreement that we will receive a 0% rate increase.

The total recommended budget for Unclassified General Government is \$3,289,027 or a \$152,811 increase over the previous fiscal year.

Capital

The Capital Planning Committee received seventeen (17) capital project requests totaling \$2,853,100 and recommended funding fourteen (14) capital project requests totaling \$1,684,100. The Capital Plan is recommended to be funded through various funding sources including Free Cash, unexpended articles, bond premium reserved for capital, and tax revenues. There is no additional borrowing required to fund the FY20 Capital Plan. The chart below identifies all the items included in the FY20 Capital Plan and their funding sources.

Priority #	CIP#	Dept.	Project Name	Category	FY2020 Projected
1	FD18-01	Fire	Vital Sign Airway Monitors	Equipment	15,000.00
2	PD17-01-A	Police	Police Vehicle, 1 marked	Vehicle	68,000.00
3	PD17-01-B	Police	Police Vehicle, 1 unmarked replacement	Vehicle	48,000.00
4	FD16-15	Fire	Engine 4 Replacement (1995)	Vehicle	685,000.00
5	LPS19-01	Schools	PRI/THES Wifi Upgrade	Equipment	19,600.00
6	GG19-01	Town Clerk	Voting Machines	Equipment	26,500.00
7	LPS16-19-B	Schools	THMS, Asbestos Abatement/ Ceiling Replacement	Facilities	162,000.00
8	FM17-10B	DPW	Fuel Tanks at DPW	Facilities	220,000.00
9	PD18-02	Police	Patrol Rifles and Shotguns	Equipment	16,000.00
10	GG19-02	Planning	Master Plan	Planning	50,000.00
11	FD17-02	Fire	Rescue 2, Replacement 19R2 (2008)	Vehicle	310,000.00
12	FM16-15	DPW	Teen Center, Paint Exterior	Facilities	12,000.00
13	FM19-01	DPW	Parks- Wallis Park Bball Court and Fence	Facilities	36,000.00
14	FM16-01	DPW	PSB, Bldg Automation System	Facilities	16,000.00
			Total Capital Plan		1,684,100.00
		Funding:	Raise & appropriate		600,000.00
			Free cash		910,619.95
			Unexpended Capital		167,129.56
			Premium Reserved for Capital		6,350.49
			Total		1,684,100.00

Use of Free Cash on Capital and Reserves

The FY2020 budget uses \$1,360,619.95 of the \$1,512,483 certified Free Cash available for appropriation for the following

- Designates \$150,000 towards OPEB liability costs (<10% of the previous year's certified free cash);
- Funds \$910,619.95 towards the Capital Plan;
- \$100,000 deposited into the regular Stabilization Account per the Town's Financial Policy;
- \$200,000 to be deposited into Special Purpose Stabilization Account for upcoming large capital projects.

The undesignated balance of \$151,862 is recommended to either roll to next fiscal year's Free Cash balance to help fund next year's Capital, deposit into Reserves, or set aside for other capital purposes. The use of Free Cash on one time expenditures (Capital) and deposits into the town's reserves promotes a fiscal sustainability and plans for the town's future.

Retirement Assessment

The Worcester Regional Retirement System annually provides each member Town an assessment based upon anticipated retirement benefits to be paid out. The Town's FY2020 assessment has been certified at \$1,354,353, which includes an early payment discount of approximately \$25,271. This is an overall increase of \$132,539 or a 10.8% increase from last fiscal year.

Non-Appropriated Expenditures

Cherry Sheet Charges, Cherry Sheet Offsets, funds for the Overlay account, and Tax Title make up the non-appropriated expenditures that are raised on the tax recapitulation sheet that is submitted to the Department of Revenue to set the tax rate. The Cherry Sheet Charges and Cherry Sheet Offsets are based on the Governor's House 1 Budget Proposal and indicate a decrease in the assessed amounts. We will watch these closely in the House and Senate budget proposals to see if they fluctuate. For the preliminary budget proposal, the Tax Title Account is recommended to be increased by \$1,500 to address additional tax title properties and the funds required to go through the tax title process, however, the amount needed to adequately move forward the existing properties in tax title is \$25,000. As the unknown costs become known, the goal would be to revisit this estimate.

	FY2018	FY2019	FY2020	FY2020 TM	Dollar Increase
	After Recap	After Recap	Target Budget	Recommendation	Over PY
Court Judgments					
Cherry Sheet Charges	\$ 1,388,782	\$ 1,044,696	\$ 1,044,696	\$ 1,012,516	\$ (32,180)
Cherry Sheet Offsets	\$ 295,827	\$ 257,181	\$ 257,181	\$ 202,787	\$ (54,394)
Overlay	\$ 175,000	\$ 175,016	\$ 175,000	\$ 175,000	\$ (16)
Tax Title	\$ 8,000	\$ 10,500	\$ 12,000	\$ 12,000	\$ 1,500
sub-total:	\$ 1,867,609	\$ 1,487,393	\$ 1,488,877	\$ 1,402,303	\$ (85,090)

Conclusion

The preliminary budget presented provides for a balanced budget that funds certain increases to address the town's need for increased public safety services, the necessity for certain staff increases, funds contractual increases, and adheres to the Town's financial policies. The target budget of a 2.5% increase for the Lunenburg Public Schools will be revisited once the Town receives their health insurance renewal rates at the end of February and the assessment from Montachusett Regional Vocational School in early March. Given the information known at this point in time in regards to revenue projections and known expenses, the Town Manager's proposed FY20 budget aims to address the needs of the community while balancing the effect on taxpayers. As we move forward in the budget process, we will receive certain information such as Health Insurance renewal rates, General Insurance renewal rates, the Monty Tech Assessment amount, and a better picture of the final State Aid figure and the budget will be adjusted accordingly.

I want to thank all the department heads for working diligently to create well thought out budgets that address service needs and their efforts to look for efficiencies whenever feasible.